

The Effect of Earned Wage Access Programs on Maryland Consumers



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Project Goals

1. Perform a comprehensive analysis of the market inquiry responses.
2. Identify EWA usage trends, and customer behavior.
3. Assess EWA usage by demographics to understand how different population sub groups depend on EWA services.
4. Identify empirical relationships between EWA usage, financial literacy, financial constraint and financial access.



Key Takeaways

1. There has been a sharp increase in EWA usage over time.
2. Despite EWA being a free service, half the users pay to expedite the fund transfer, leading to an average APR of 101.39%. In cases where tips are accepted, users are willing to tip their provider as well.
3. Users utilize EWA services several times over the course of the study, and many eventually default.
4. EWA is more prevalent within:
 - a. Communities with lower income, lower education, lower financial literacy and higher financial constraint
 - b. Black and hispanic communities
5. Access to banks/financial institutions is necessary for EWA services.





SUMMARY OF MARKET INQUIRY

Firms at a Glance

EWA FIRMS THAT RESPONDED	
Brigit	Clair
Daily Pay	Dayforce
EarnIn	FinFit
FlexWage	MoneyLion
One@Work	PayActiv
Rain	WageStream
ZayZoon	
NON-EWA FIRMS THAT RESPONDED	
Chime	Dave
NON-MD FIRMS	
Payflow Digital	



Total Transactions

11,141,090

Total Unique Customers

345,437

EWAs Have Gained A
Significant Market
Share Over The Years

From January 1, 2019, to September 26, 2024, there were **11,141,090**
EWA transactions totaling **\$108,082,684**

Note: Not all firms were operational throughout this entire period. Revenue and transaction figures are missing for some firms. Chime, Payflow, and Dave are not EWAs or do not operate in Maryland.



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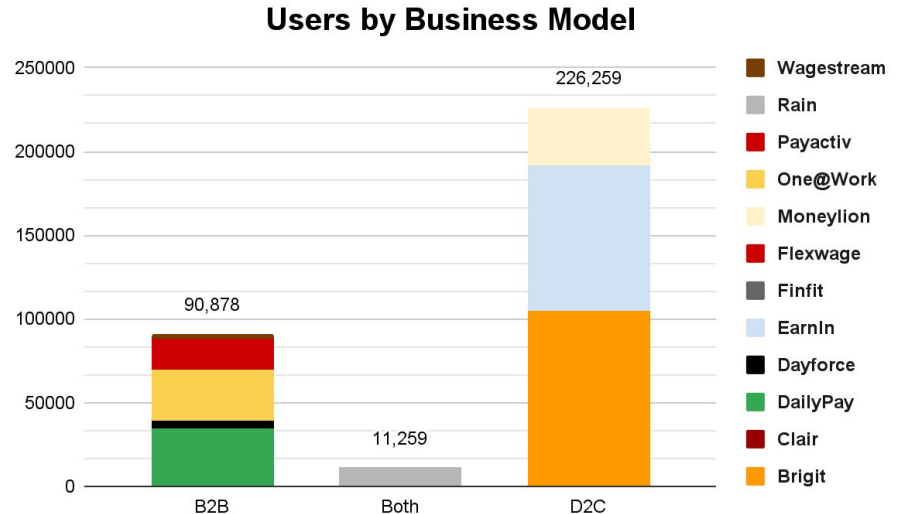


D2C Models Dominate the Market

There are 2 main business models used by EWA companies in Maryland:

- **Business-to-Business (B2B):** The EWA provider partners with employers.
- **Direct-to-Consumer (D2C):** EWA companies work **directly** with employees.

Among **345,437** unique customers in EWA programs, **more than half** are solely from the three firms (MoneyLion, EarnIn, and Brigit) using D2C business models

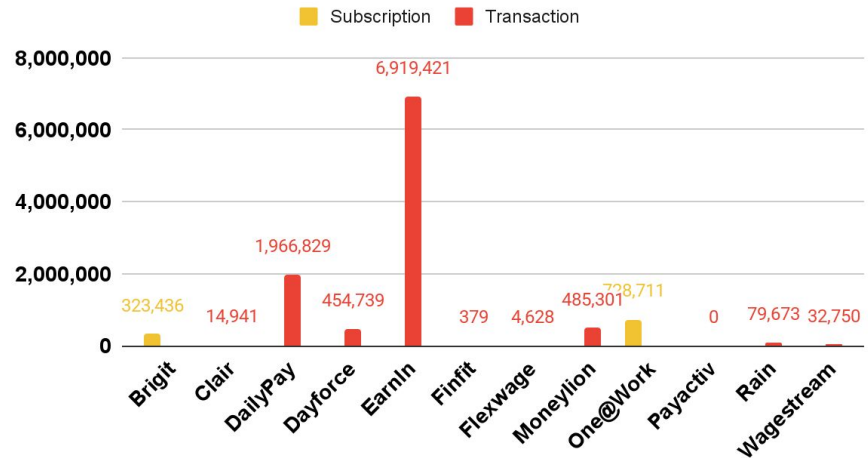


Transaction Based Models Dominate the Market

Two Pricing Models in EWA Services:

- The **transaction-based model** dominates the industry, with 10 out of 12 firms relying solely on this approach. These firms collectively handled **10,088,943** transactions.
- In contrast, the **subscription-based model** charges users a recurring fee for access over a set time period.

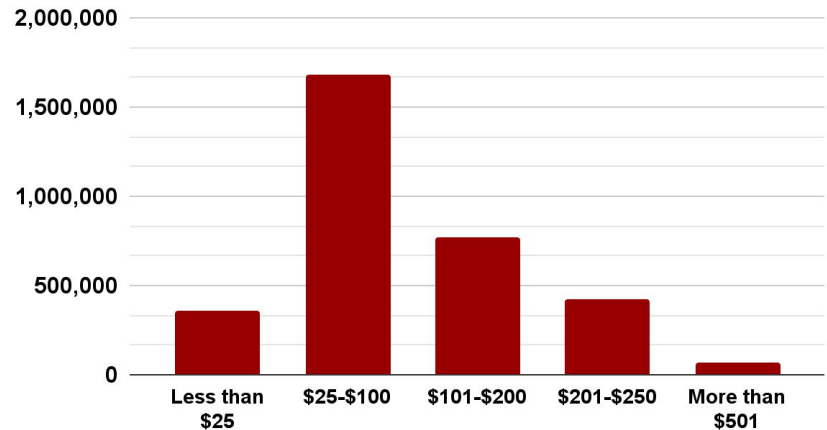
Number of Transactions per Company

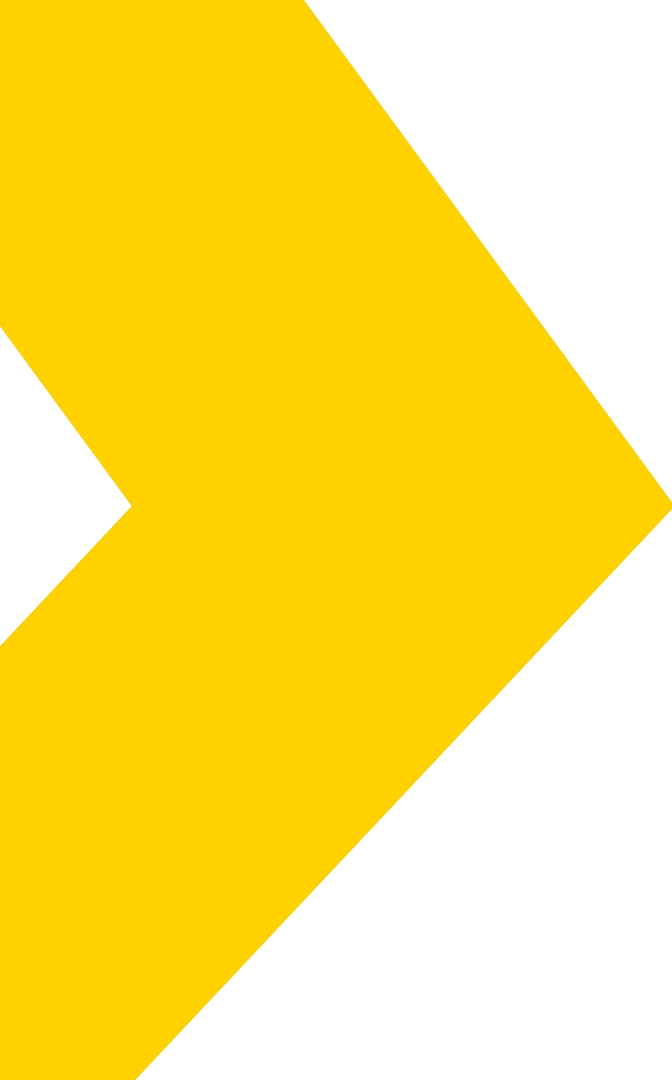


Most Transactions Fall Between \$25 and \$100

- The most common transaction amount falls between **\$25 and \$100**, which reflects typical **short-term** financial needs.
- The second largest group is within the \$101 to \$200 range, indicating that some users access larger portions of their earned wages for more significant expenses.
- The average transaction amount was \$108.19

Total Number of Transactions by Amount





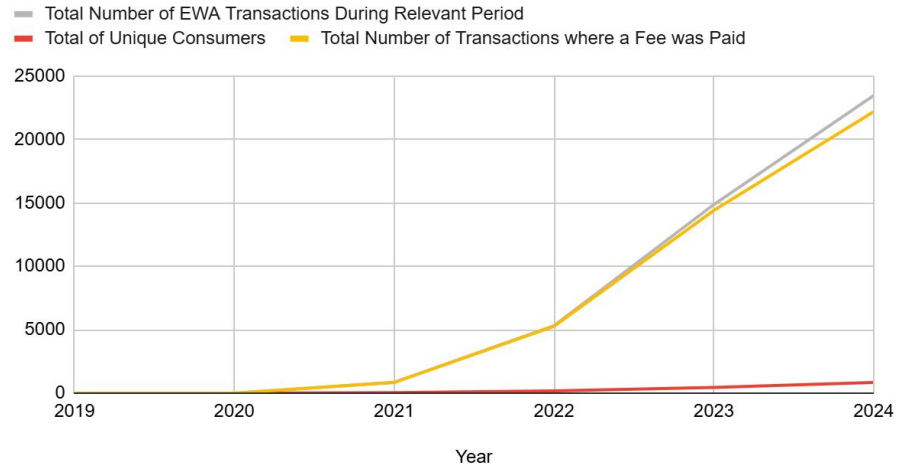
1. Rise in EWA Usage

Growing Dependence on EWA Products

- **Wagestream** reveals the nature of **repeat transactions** by year.
- There is a **sharp increase** in the number of customers performing repeat transactions, suggesting a growing dependence on the EWA product rather than using it for financial relief.
- Number of transactions went up by 2,655%, while customers went up by 1,776%.

*Data has been annualized for 2024.

Wagestream Transactions by Year

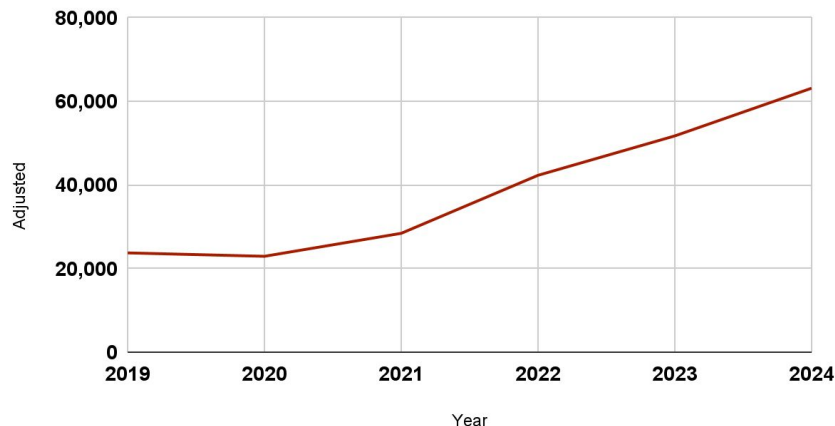


One@Work shows a similar trend of rising EWA usage

- **One@Work** shows a similar trend of rapid customer growth.
- Number of unique customers went up by 166% from 2019 to 2024.

*Data has been annualized for 2024.

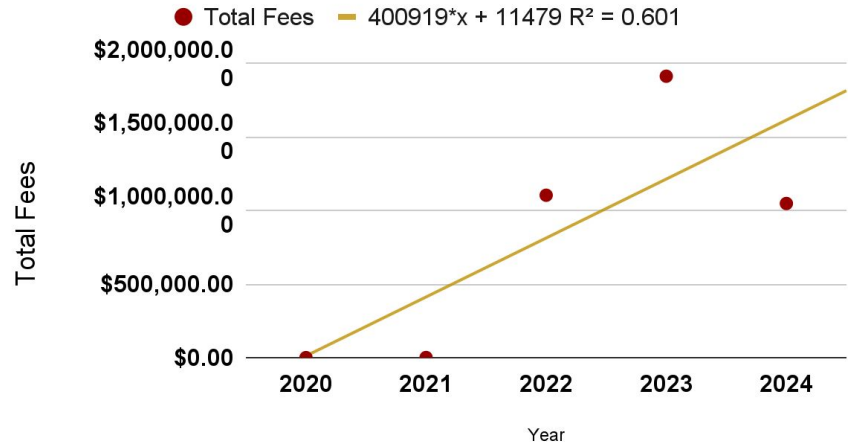
One@Work unique repeat customers (*2024 is annualized)

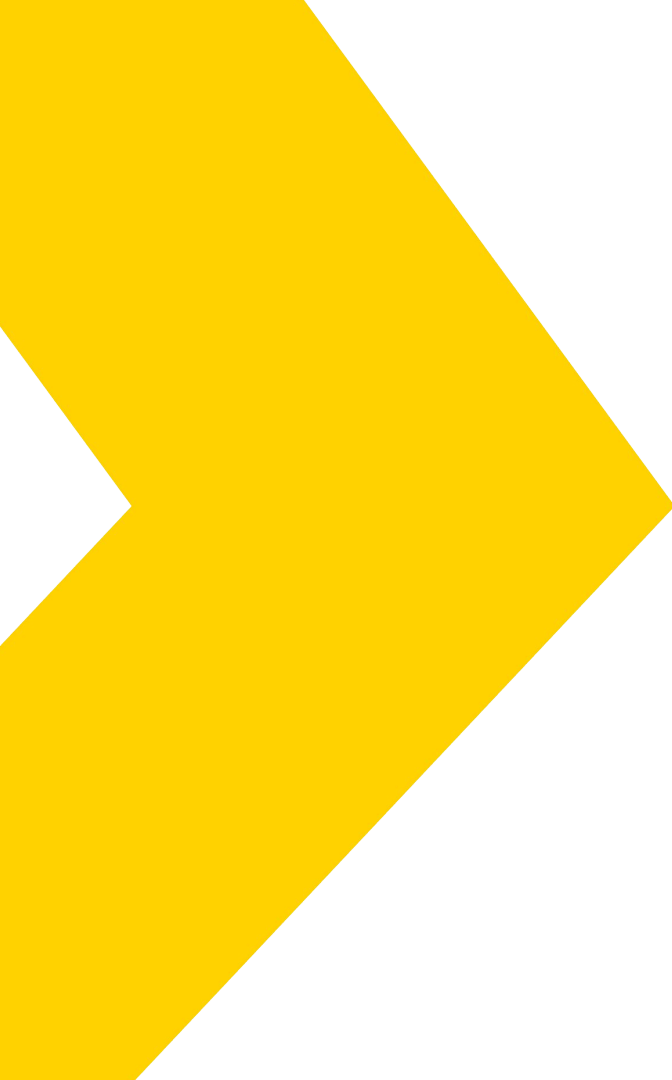


EarnIn: Monumental Growth over the Years

- In just a few years, fees collected by **EarnIn** skyrocketed from under **\$1,000** to **over \$1 million**.
- This surge reflects both the rapid increase in usage and the rise in fee per transaction.
- The growth suggests that the services offered are becoming increasingly vital to a larger and more engaged audience.

EarnIn-Total Fee Projections

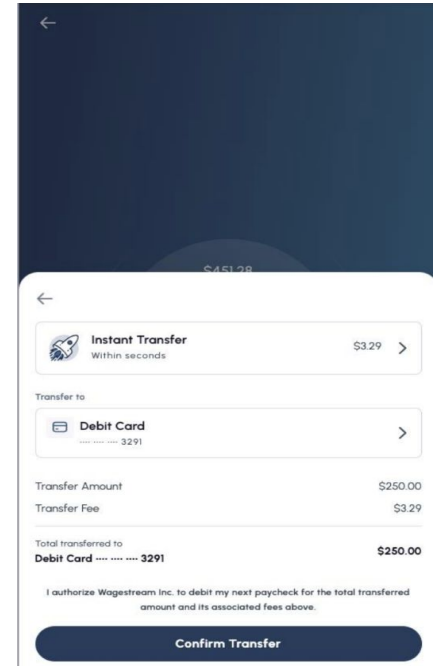




2. EWA is NOT a Free Service

“Free” Service with Optional Fees

- Most companies offer a **free** EWA option, but transactions often take up to 2 business days.
- To get the cash faster, users opt to pay for expedited and transaction fees, which range from **\$1.99** to **\$4.50** (transaction based or subscription based models) for an average transaction between **\$25** to **\$100**
- Optional tips, separate from these fees, will be discussed later.



Total revenue for the relevant period exceeded \$35M for fees

Number of Transactions with Consumer Payment

5,518,901

- The total revenue from EWA services across all firms operating in Maryland was **\$35 million** from 5,518,901 consumer payments (49.5% of all transactions)
- EWA providers generate revenue primarily through **transaction fees**, expedited fees, and tips.



Exceedingly High APRs charged

- We calculate the Annual Percentage Rate (APR) based on **transaction fees** and **transaction amount**.
- The average APR charged is over 100%, ranging from 42% (Flexwage) to 227% (Clair).

***Clear policies** are needed to ensure users fully understand their payment options.*

Company	Fee Charged	APR
FlexWage	\$3.00	42.42%
FinFlt	\$5.00	64.56%
Brigit	\$1.99	65.37%
Daily Pay	\$2.82	72.90%
WageStream	\$3.29	92.75%
Rain	\$3.81	102.00%
ZayZoon	\$5.00	143.94%
Clair	\$4.50	227.17%
Average	\$3.68	101.39%



Tips are Optional, but Common Practices

- **Tips Are Optional:** EarnIn users are not required to pay tips.
- **Frequent Tip Amounts:** Despite being optional, many users pay tips exceeding \$2.00.
- **Average Tip per user:** Over the relevant period, the average tip amount per user was a substantial **\$282.44**.

*Within our database, only Earnin has provided a detailed breakup



More than half of EarnIn's revenue is from tips

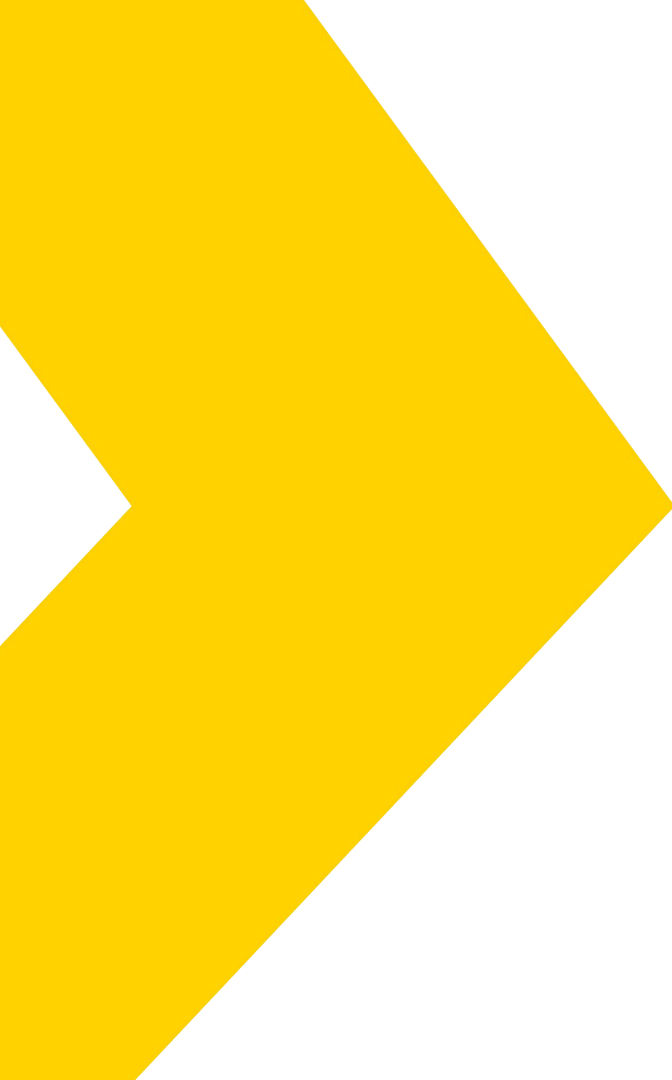
Transaction Fees: Earnin collects approximately **\$2** in fees per transaction in Maryland

Over relevant period, Earnin collected **\$6.7 million** in fees in Maryland

During the same period, they received **\$16.7 million** in tips

Revenue Breakdown: Approximately **71%** of Earnin's revenue in Maryland is from tips





3. Repeat Customers & Delinquencies

Payment Delinquencies and Default Rates

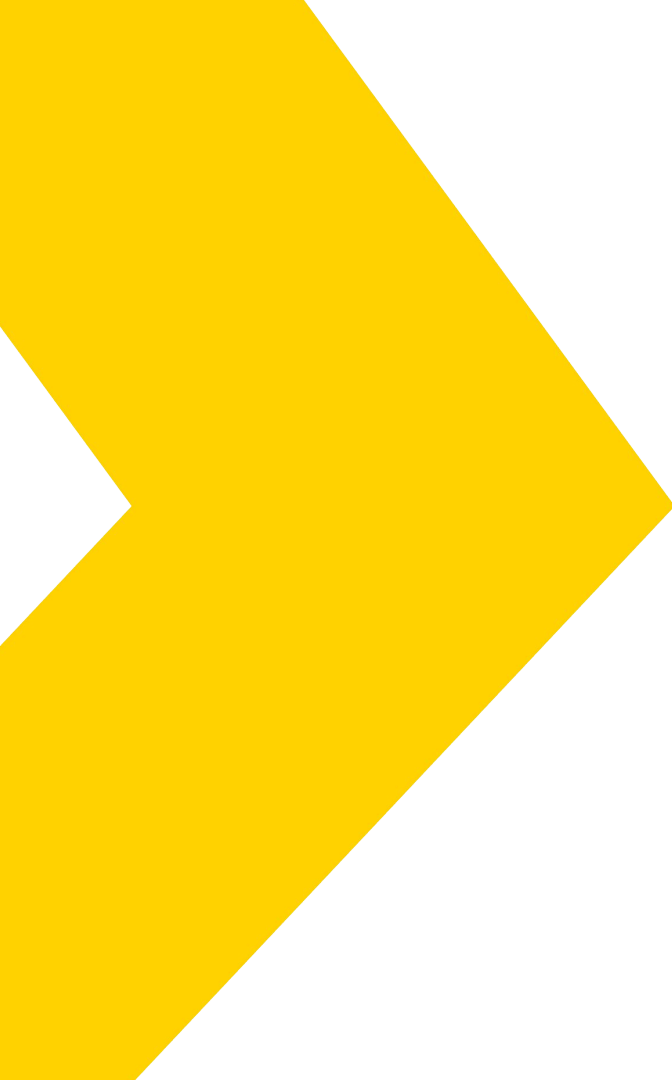
Company	# Transactions	# Consumers	# of Transactions per User	% Consumers with payment extensions	% Consumers who did not repay
Brigit	323,436	35,199	9	48.60%	25.44%
Clair	14,941	645	23	0.00%	11.47%
One@Work	728,711	30,089	24	0.00%	-
WageStream	32,750	995	33	-	2.91%



EWA Does Not Alleviate Financial Constraints

- Most users have **51 or more** repeat transactions, indicating ongoing dependency
- **16%** of users cash out 6 or more times in a two-week period, indicating reliance.
- **23%** use the service at least once every two weeks, showing habitual reliance
- Nearly **50%** of users remain unable to cover emergency expenses despite using the service
- **46%** of users reported working more hours or picking up additional shifts due to EarnIn.



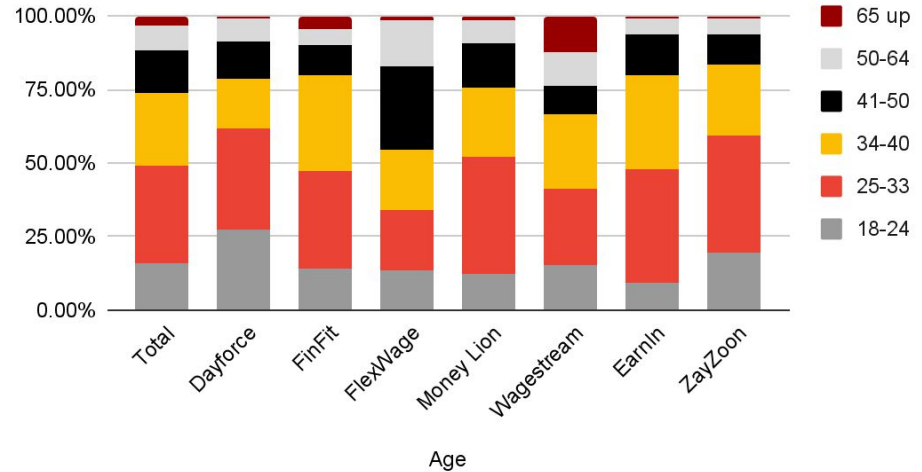


4. EWA Usage Varies by Demographic Factors

EWA usage peaks by the age of 40

- 32.3% of EWA users are between the age of **25** and **33**.
- The data shows that EWA products are more likely to be used by **younger professionals** who have recently entered the workforce.

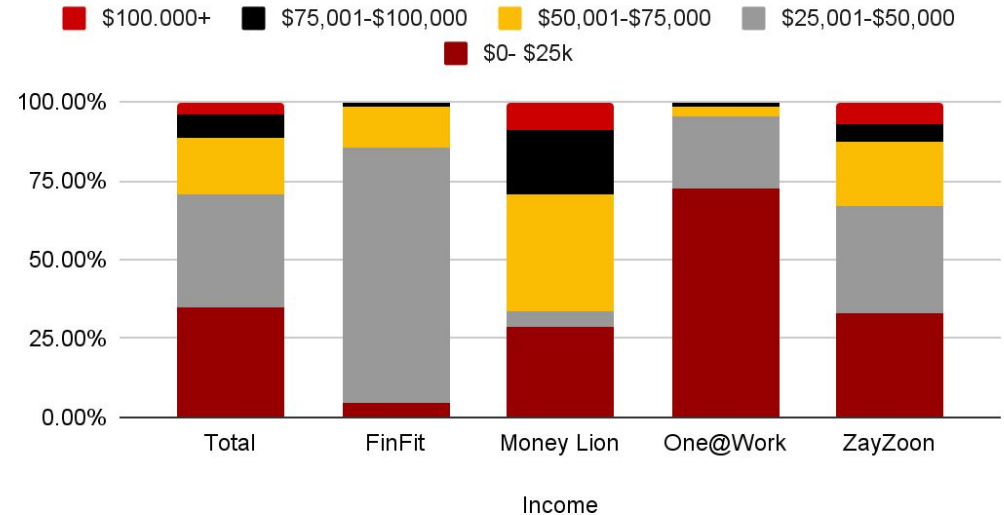
EWA by Age



EWA is disproportionately used by lower income individuals

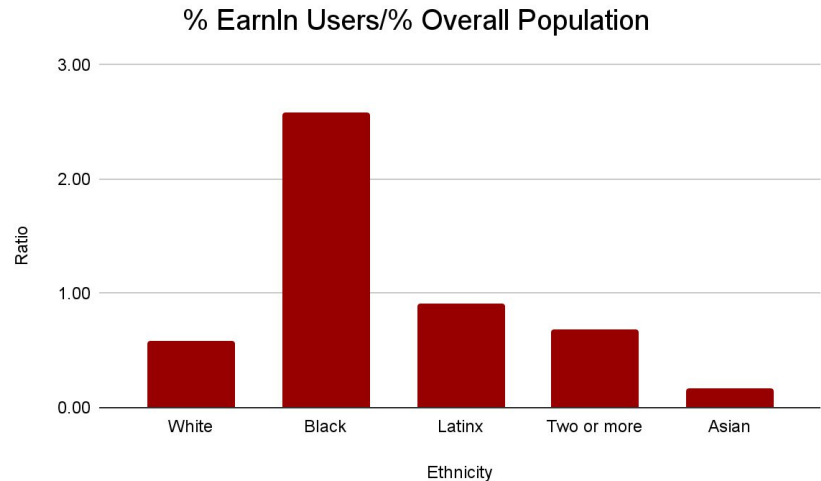
- 70% of the transactions are made by those with income of **\$50,000 or less**
- Those with lower incomes have **higher dependency** on EWA products

EWA by Income



EarnIn Shows a Strong Disparity of EWA Usage by Race

- **Black individuals** are the most likely users of EWA services (odds ratio = 2.6)
- **Asian individuals** are the least likely to use EWA services (odds ratio = 0.2)



Women are more likely to use EWA services

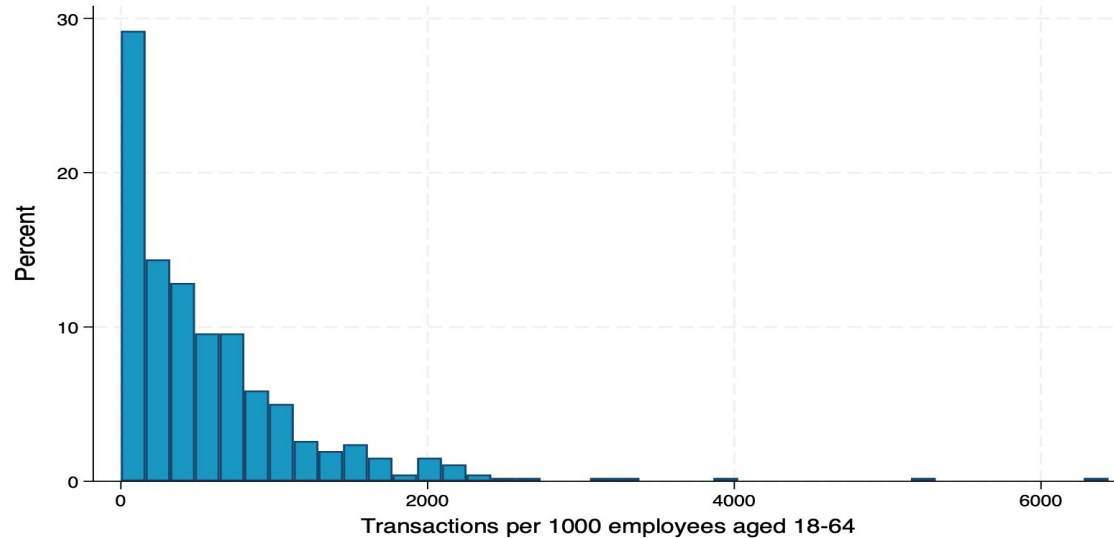
EarnIn data suggests that EWA services are predominantly used by women, with females accounting for as much as **70%** of users.

This indicates a significant gender skew in the usage of these services.

Share of Males	Share of Females
29.00%	70.00%



Transaction Intensity by Zip-Code



Transaction intensity = $\# \text{ Transactions} / \# \text{ Residents (18-64)} * 1000$



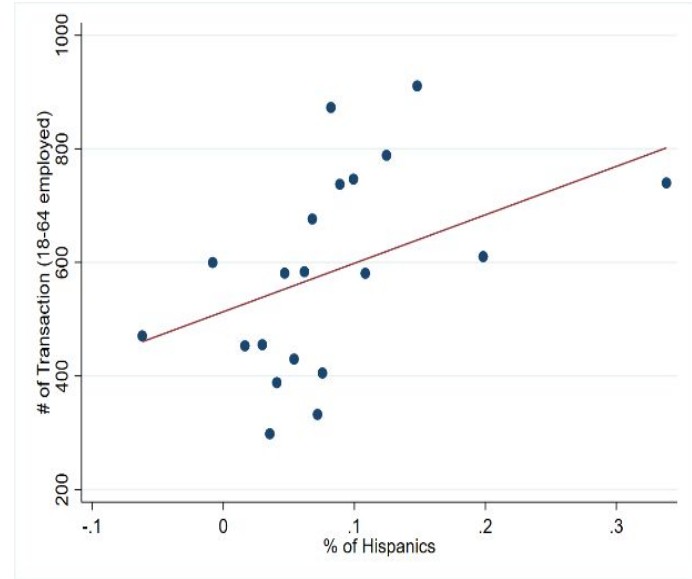
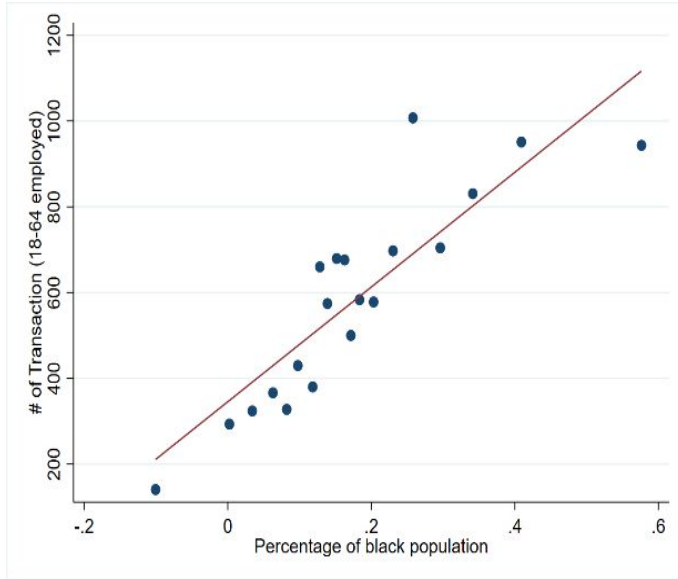
American Community Survey (ACS) Data

The American Community Survey (ACS) is an ongoing survey conducted by the U.S. Census Bureau that provides detailed demographic, social, economic, and housing data about the U.S. population. Unlike the decennial census, the ACS collects data every year.

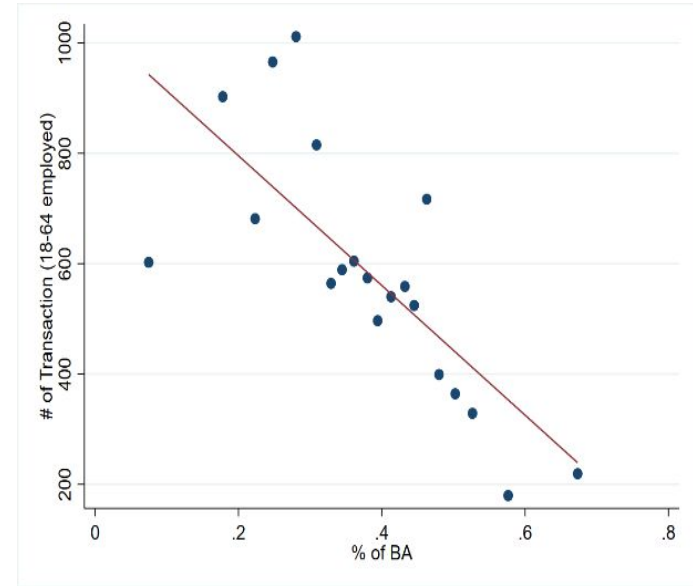
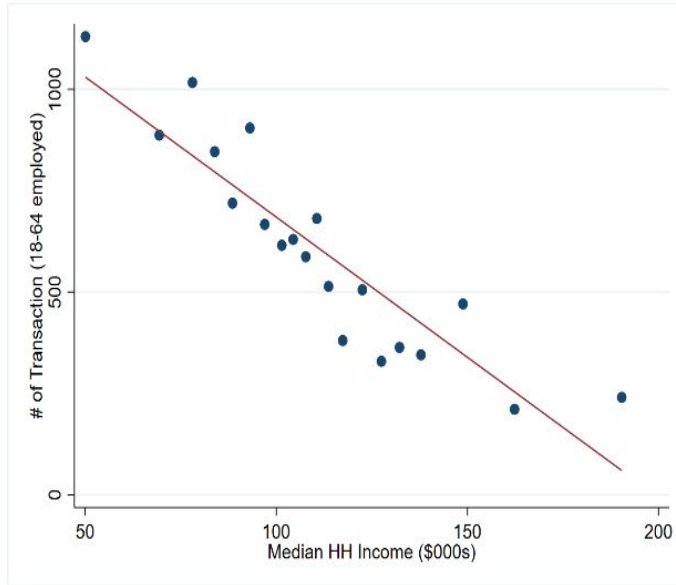
- We collect information on **Age, Income, Education, Race, Housing, and Poverty Ratio** and aggregate it to the zip-level



Zip Codes with high percentage of black and hispanic population use EWA services more often



Financially well off and Educated zip codes have negative correlations with EWA usage



FINRA Indices

We use the **National Financial Capability Survey** in 2009, 2012, 2015, 2018, and 2021 to construct indices on **Financial Constraint, Financial Literacy, and Alternative Financing** at the zip code level. The dataset includes 2,500 respondents from Maryland.

Financial Constraint (Total scores: 6 points)

- **Household spending and savings:** 1 point if spending exceeds income.
- **Expense condition:** 1 point if paying bills is difficult.
- **Emergency fund:** 1 point if no emergency fund available.
- **Retirement accounts:** 1 point if there has any loan or hardship withdrawal.
- **Mortgage payments:** 1 point for more than one late payment in the past year.
- **Credit cards:** 1 point for any payment difficulties.

Financial Literacy (Total scores: 5 points)

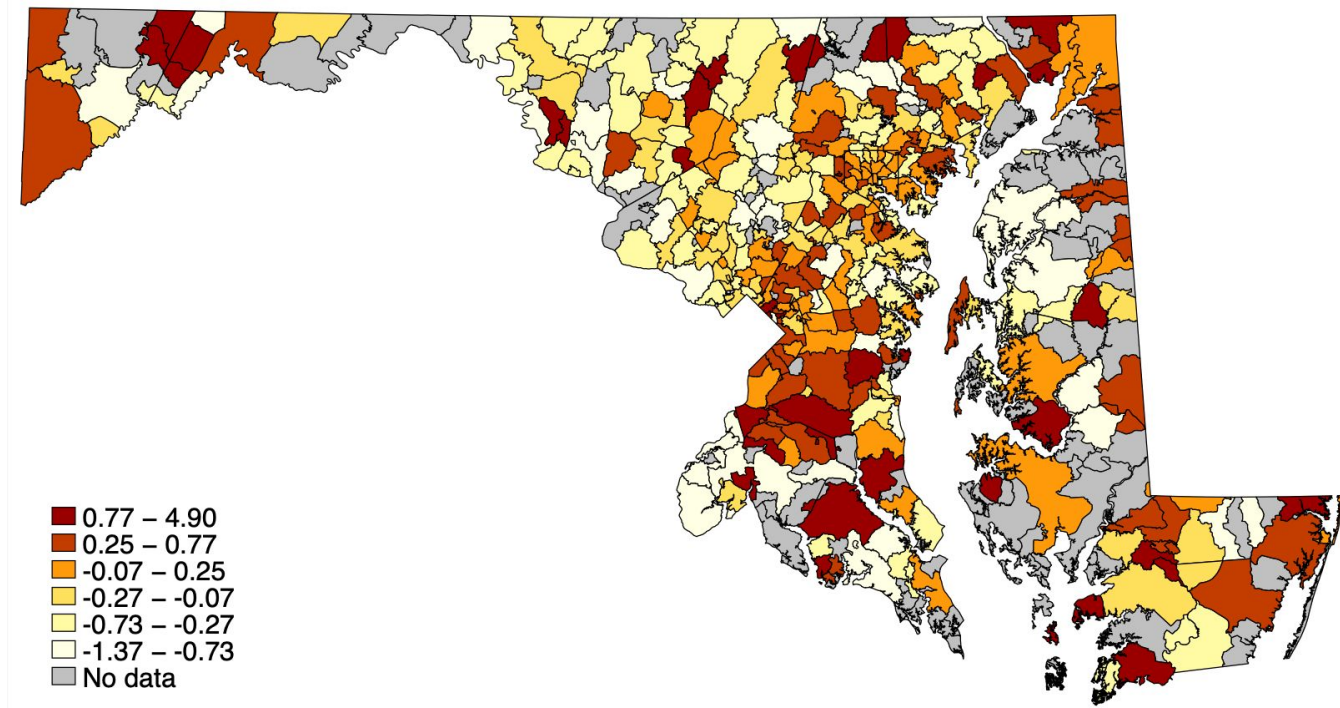
Objective questions designed to assess the financial knowledge of respondents: 1 point for each correct answer

Alternative Financing (Total scores: 5 points)

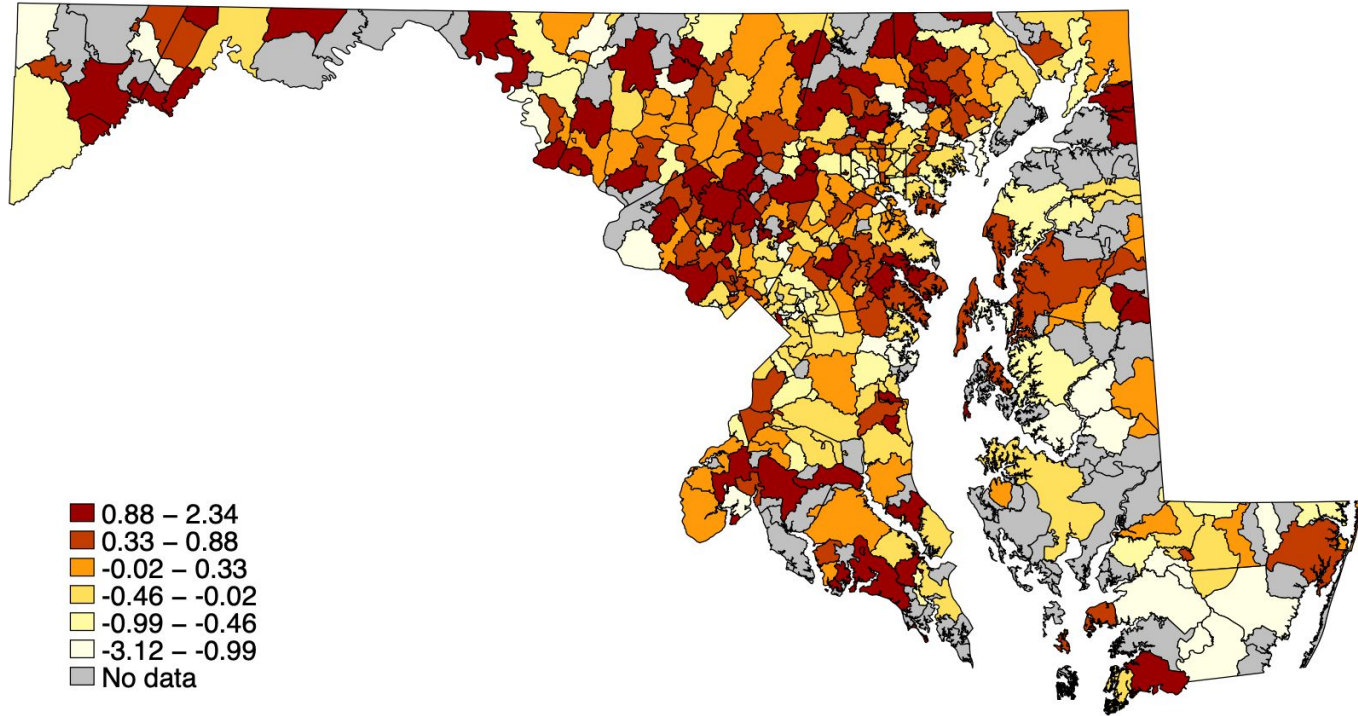
1 point each for frequent use of **auto title loan, short-term 'payday' loan, pawn shop, rent-to-own store, or auto loan.**



Financial Constraint Index – Maryland

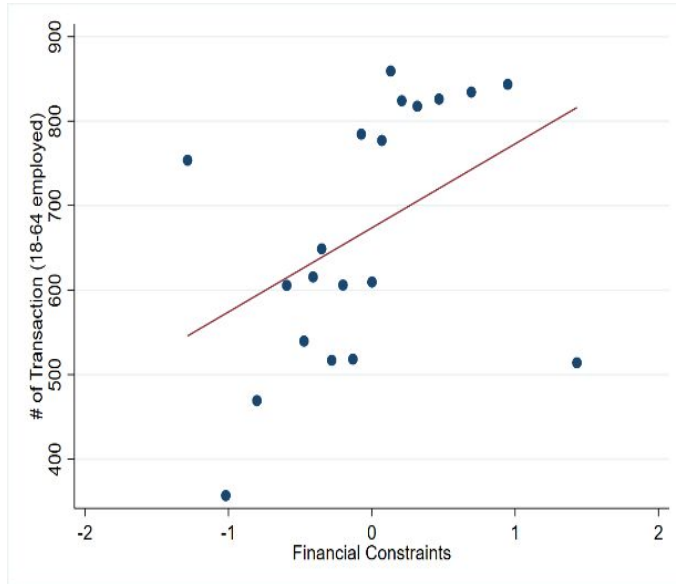


Financial Literacy Index – Maryland

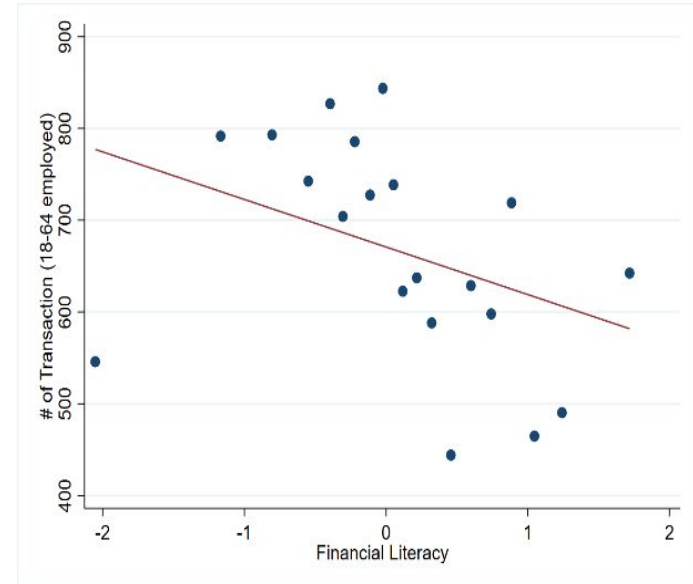


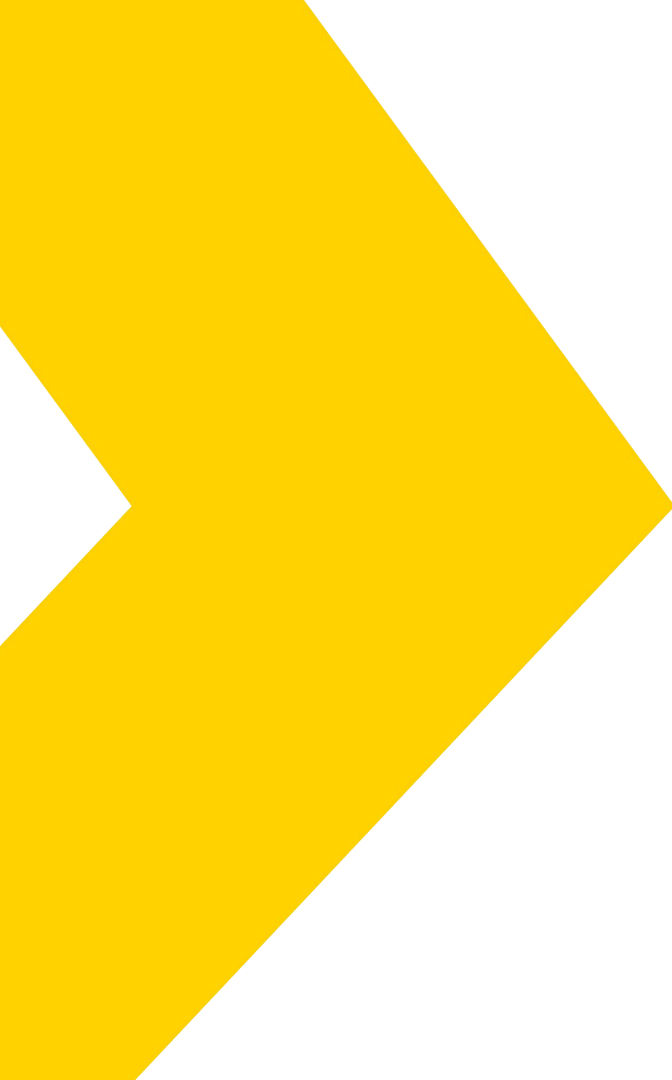
Relationships between FINRA Indices and EWA usage

Financial constraints & EWA usage – **positive related**



Financial Literacy & EWA usage – **negative related**

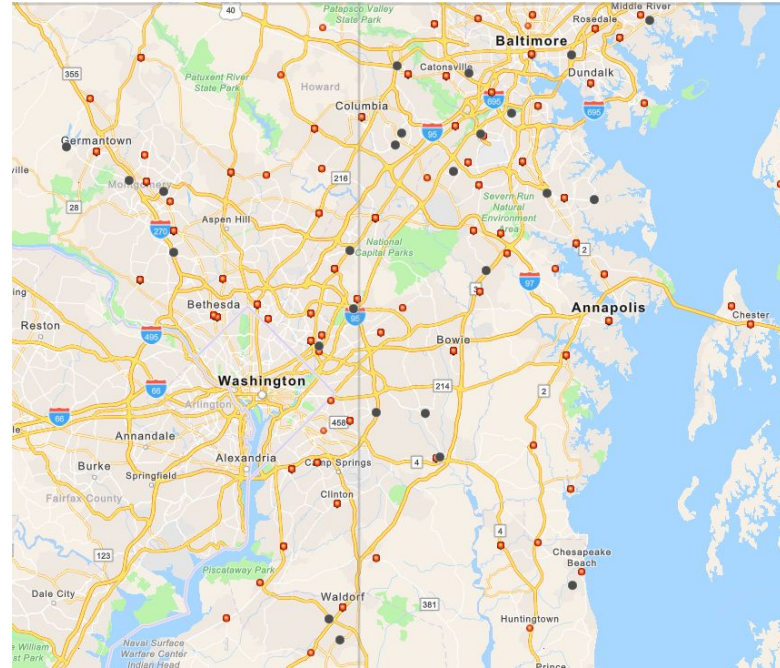
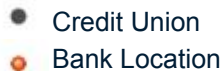


A large yellow chevron graphic pointing to the right, located on the left side of the slide.

5. EWA Usage is correlated with financial access

Data on Bank and Credit Union Branches

- We collect information on the location of bank and credit union branches from the **Summary of Deposits** from FDIC and **Quarterly Credit Union Data Summary** from National Credit Union Administration (NCUA).
- We aggregate the number of bank branches by zip code

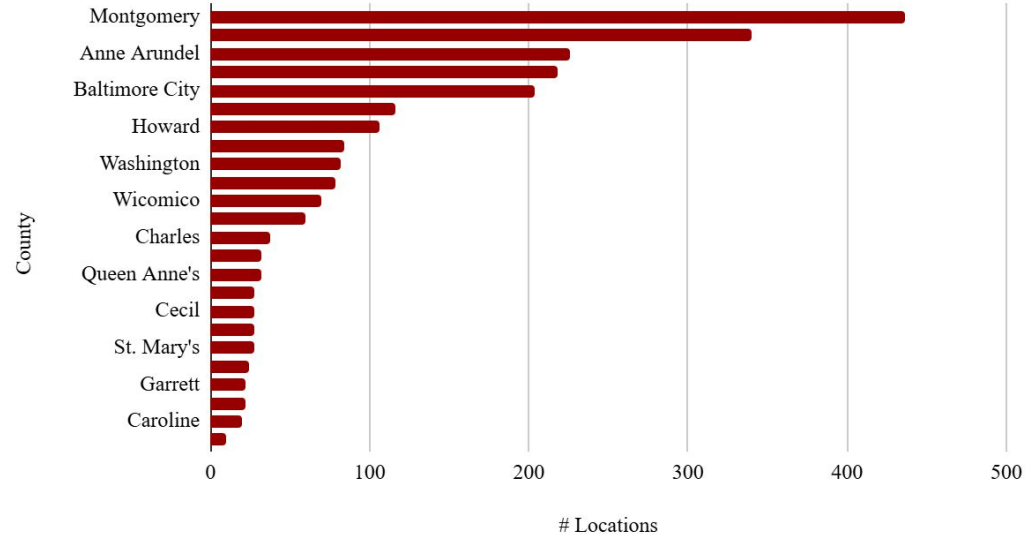


Access to Financial Institutions

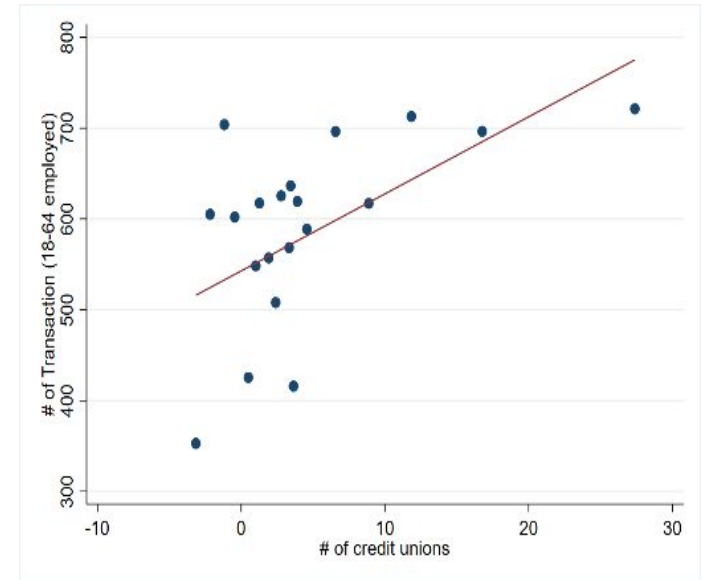
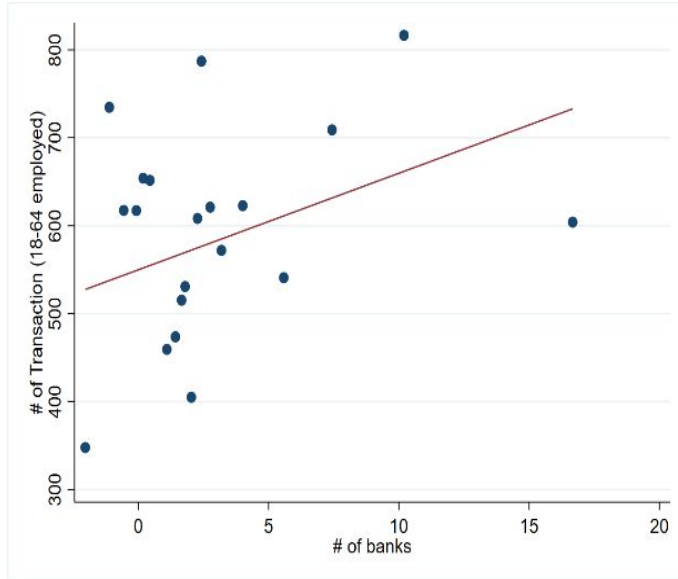
Top 5 counties by # of banks and Credit Unions:

- Montgomery County
- Baltimore County
- Anne Arundel County
- Prince George's County
- Baltimore City

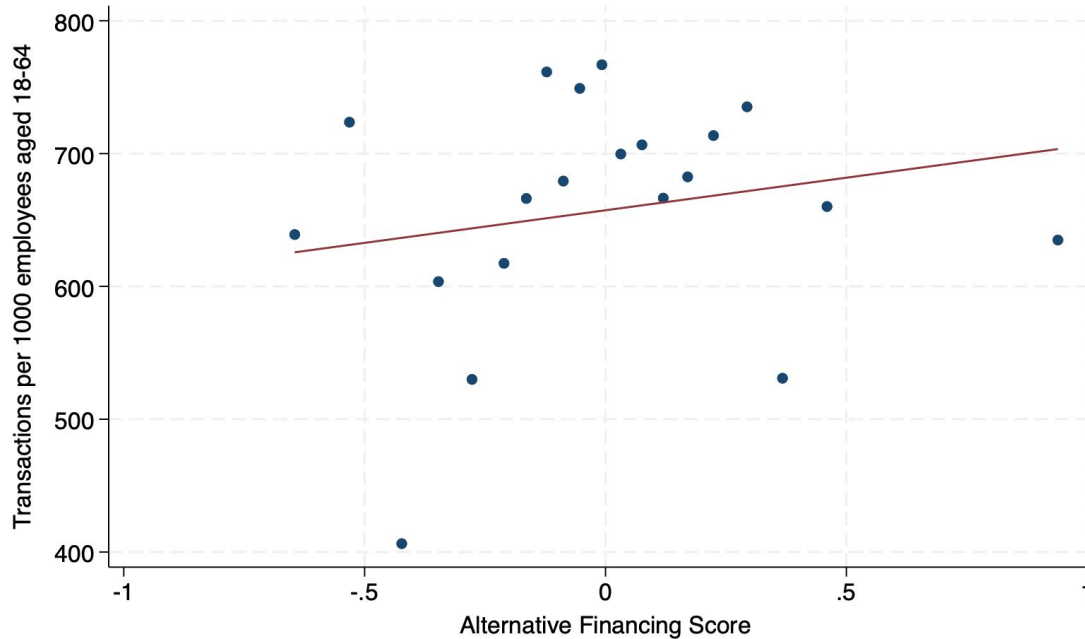
Bank and Credit Union Locations by County



Access to banks and credit unions increases EWA usage



EWA Intensity is positively correlated with the use of Alternative Financing



Summary

1. EWA services have grown 20x to 100x since 2019.
2. Many users pay significant fees and tips for optional services, resulting in effective APRs exceeding 100%.
3. A large share of users access EWA repeatedly, with a notable portion eventually experiencing delinquency.
4. EWA is more prevalent in communities with lower income, lower education levels, higher minority populations, lower financial literacy, and greater financial vulnerability.
5. Access to traditional and alternative financial services is positively correlated with EWA usage.



Policy Suggestions

1. Fee limits to help give users more favorable borrowing terms.
2. Improve financial education across the state, and particularly within communities with low financial literacy and higher financial constraints.
3. Ensure that firms are not seeking out certain demographic groups based on past usage trends.
4. Implement laws to limit users to a single EWA service at any given time.
5. Offer state backed alternatives to low-income households at low fees as an alternative to the current EWA options, particularly to those struggling to pay small, recurring bills.



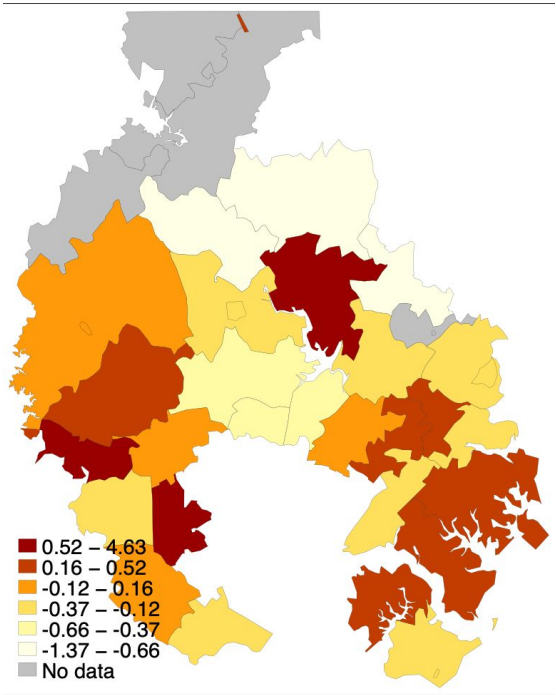


Thank you

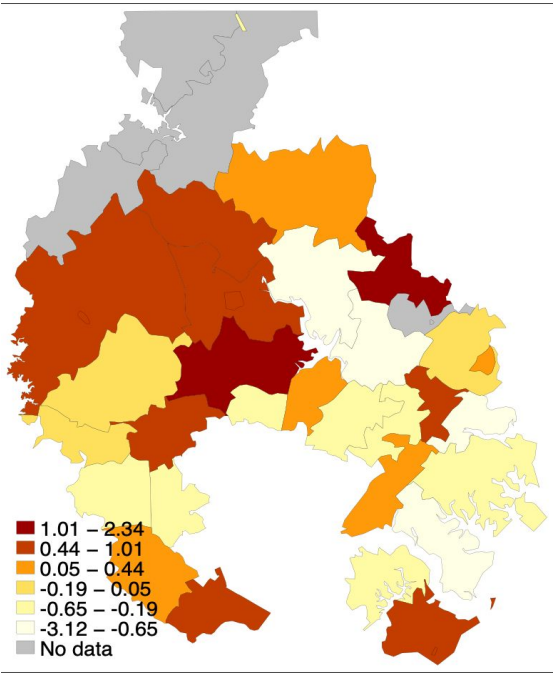


Appendix

Baltimore - FINRA Indices



Financial Constraint



Financial Literacy

Financial Constraint

1. Over the past year, would you say your (household's) spending was less than, more than, or about equal to your (household's) income?
2. In a typical month, how difficult is it for you to cover your expenses and pay all your bills?
3. Have you set aside emergency or rainy day funds that would cover your expenses for 3 months, in case of sickness, job loss, economic downturn, or other emergencies?
4. — In the last 12 months, have you (or your spouse/partner) taken a loan from your retirement account(s)?
— In the last 12 months, have you (or your spouse/partner) taken a hardship withdrawal from your retirement account(s)?
5. How many times have you been late with your mortgage payments in the past 12 months?



Financial Constraint

6. – In the past 12 months, which of the following describes your experience with credit cards? - I always paid my credit cards in full.
- In the past 12 months, which of the following describes your experience with credit cards?- In some months, I carried over a balance and was charged interest.
- In the past 12 months, which of the following describes your experience with credit cards?- In some months, I paid the minimum payment only.
- In the past 12 months, which of the following describes your experience with credit cards? - In come months, I was charged a late fee for late payment.
- In the past 12 months, which of the following describes your experience with credit cards? - In come months, I was charged an over the limit fee for exceeding my credit line.
- In the past 12 months, which of the following describes your experience with credit cards? - In come months, I used the cards for a cash advance.



Financial Literacy

1. Suppose you had \$100 in a savings account and the interest rate was 2% per year. After 5 years, how much do you think you would have in the account if you left the money to grow?
2. Imagine that the interest rate on your savings account was 1% per year and inflation was 2% per year. After 1 year, how much would you be able to buy with the money in this account?
3. If interest rates rise, what will typically happen to bond prices?
4. A 15-year mortgage typically requires higher monthly payments than a 30-year mortgage, but the total interest paid over the life of the loan will be less.
5. Buying a single company's stock usually provides a safer return than a stock mutual fund.



Alternative Financing

1. In the past 5 years, how many times have you taken an auto title loan?
2. In the past 5 years, how many times have you taken out a short-term 'payday' loan?
3. In the past 5 years, how many times have you used a pawn shop?
4. In the past 5 years, how many times have you used a rent-to-own store?
5. Do you (or does your household) currently have an auto loan?



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